CASCADIA ANALYTICS

Sea Limited

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EBITDA Compression and Credit Cycle Exposure Offset Shopee Re-Acceleration

Analyst: Justin Wen | October 29, 2026

Sea Limited has demonstrated resilient top-line re-acceleration across its three core engines, powered by Shopee take-rate expansion, record bookings prints at Garena, and rapid scale across the Monee credit book. However, the operational reality revealed over recent quarters indicates that profitability growth continues to trail top-line expansion, as marketing intensity to defend core commerce market share against TikTok Shop and Temu compresses group adjusted EBITDA margins, while an untested credit portfolio of $11.1B introduces latent cyclical vulnerability. While Shopee retains its leading market footprint across Southeast Asia and Taiwan alongside expanding scale in Brazil, current valuation captures the prevailing operational trajectory. We initiate coverage with a Hold rating and a probability-weighted blended price target of $84.40, implying +9.9% upside from the reference spot price of $76.79.

HOLD	$84.40	+9.9%	$76.79
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While consensus remains preoccupied with top-line GMV re-acceleration across core regional e-commerce, institutional capital must confront the compression in underlying cash flow conversion. Adjusted EBITDA margins retreated to 11.8% in Q2 2026 from 15.8% in the prior-year period as sales and marketing reinvestment expanded to counter aggressive regional competition. Simultaneously, the rapid

scaling of Monee loans outstanding to $11.1B creates provisioning obligations that will weigh heavily on operating leverage should consumer credit conditions normalize.

Executive summary

Sea Limited operates as a premier Singapore-based consumer internet group anchored by three distinct business pillars, comprising Shopee, the leading e-commerce marketplace across Southeast Asia and Taiwan with an expanding presence in Brazil, Monee, a digital financial services franchise spanning digital payments and consumer and SME credit, and Garena, a global game developer and publisher best known for its proprietary hit title Free Fire. In fiscal year 2025, the group generated $22.9B in total revenue, reflecting 36.4% year-on-year growth, with gross profit reaching $10.2B at a 44.7% gross margin. Operating income (EBIT) landed at $1.99B for an operating margin of 8.7%, EBITDA reached $2.69B, and attributable net income closed at $1.58B, generating diluted earnings per share of $2.52 and a return on equity of 12.5%. Full-year free cash flow scaled to $4.50B, representing an FCF margin of 19.6%.

The operational cadence through the subsequent quarters of 2026 confirms that revenue growth has accelerated while margin expansion has paused. Group revenue advanced 38.3% year on year in Q3 2025 to $5.94B, 38.4% in Q4 2025 to $6.90B, 46.6% in Q1 2026 to $7.10B, and 48.1% in Q2 2026 to $7.79B. This performance was underpinned by robust Shopee GMV expansion, which reached $38.3B in Q2 2026, up 28.4% year on year with 4.2B gross orders, while core marketplace revenue grew 48.9% to $4.9B as advertising and logistics attach rates expanded the net take rate. In parallel, Monee revenue compounded by 58.9% in Q2 2026 to $1.4B, with the loans principal outstanding expanding 62.5% year on year to $11.1B while maintaining a stable 90+ day non-performing loan ratio of 1.0%. Meanwhile, Garena maintained solid bookings momentum, moving from $672.4M in Q4 2025 to a record $931.4M in Q1 2026, supported by Free Fire and Arena of Valor, before settling at $763.5M in Q2 2026.

Despite this top-line vigor, the quarterly trajectory illustrates acute operating leverage friction. Adjusted EBITDA growth slowed from 67.7% in Q3 2025 to 10.6% in Q2 2026, when adjusted EBITDA stood at $917.2M. Group adjusted EBITDA margin compressed by 400 basis points year on year to 11.8% in Q2 2026, down from 15.8% in Q2 2025. This compression stemmed directly from elevated sales and marketing commitments required to defend Shopee against intense competitive pressure from TikTok Shop and Temu in Southeast Asia, alongside ongoing fulfillment investments in Brazil. Furthermore, the rapid growth of the Monee credit book has caused credit loss provisions to scale in tandem with loan originations, absorbing operating gains. Net income in Q1 2026 rose by only 6.7% year on year to $438.2M despite top-line growth of 46.6%, highlighting how incremental revenue is being absorbed by operational reinvestment and credit balance sheet shielding.

From a balance sheet and capital deployment perspective, Sea Limited entered this period of elevated competitive tension from a position of financial stability. The group closed FY2025 with $4.16B in cash and cash equivalents against total debt of $3.38B, resulting in a net cash

position of $783.1M. Management reinforced shareholder capital allocation in Q1 2026 by authorizing a $1.0B share repurchase program while providing full-year guidance that established an expectation for 2026 Shopee GMV growth of around 25% and full-year adjusted EBITDA no lower than 2025 in absolute dollars. However, this buyback program competes directly with the capital requirements of Shopee logistics infrastructure and the cash-consumptive nature of Brazilian market execution. At the reference spot price of $76.79, corresponding to a market capitalization of $49.0B, valuation sits at 30.5x FY2025 diluted EPS, 2.1x enterprise value to revenue, and 17.9x enterprise value to EBITDA. With our probability-weighted valuation yielding $84.40 per share, the risk-reward skew remains balanced, justifying our Hold recommendation.

Operational snapshot

$76.79	$22.9B	$4.50B	19.6%	1.55	$76.79
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Structural and Defensible

Sea Limited has constructed a defensible business ecosystem across digital entertainment, e-commerce, and financial technology across high-growth emerging economies. Shopee holds an established position as the leading e-commerce marketplace across Southeast Asia and Taiwan, and has systematically deepened merchant integration by embedding proprietary fulfillment and advertising toolsets directly into the seller workflow. In Q2 2026, Shopee core marketplace revenue advanced 48.9% year on year to $4.9B, significantly outpacing GMV growth of 28.4%. This structural divergence confirms that merchant switching costs are substantial, as sellers accept rising advertising take rates and logistics attach requirements rather than migrating to fragmented alternatives. The marketplace ecosystem processed 4.2B gross orders in Q2 2026 alone, generating density that lowers unit fulfillment overhead and reinforces consumer purchase frequency.

The regulatory and infrastructural moat surrounding Monee creates an equally formidable competitive barrier. Spanning digital payment services and consumer and SME credit, Monee operates in heavily regulated jurisdictions that require stringent capital compliance, operational licenses, and proven risk-management controls. By integrating directly into Shopee checkout infrastructure and merchant transaction flows, Monee possesses proprietary underwriting data that external banking institutions cannot easily replicate. This data visibility has enabled the business to expand loans principal outstanding by 62.5% year on year to $11.1B in Q2 2026, up from $9.2B at the close of FY2025 and $7.9B in Q3 2025. Crucially, the 90+ day non-performing loan ratio held at a disciplined 1.0% in Q2 2026, indicating that underwriting

algorithms have successfully isolated high-quality borrowers across the consumer and merchant ecosystem.

Customer retention is further enhanced by the operational symbiosis between Sea Limited's three operating divisions. Garena provides an enduring cash-generative foundation driven by its flagship IP Free Fire alongside evergreen titles such as Arena of Valor. Despite industry volatility, Garena demonstrated structural longevity by generating $931.4M in bookings during Q1 2026, up 20.1% year on year, and delivering adjusted EBITDA of $288.0M from Monee in Q2 2026 alongside Shopee marketplace gains. Digital entertainment cash flow can be allocated toward consumer acquisition across Shopee and Monee, creating a self-reinforcing distribution funnel that lowers blended customer acquisition costs compared to pure-play e-commerce or digital lending operators.

Nonetheless, pricing power faces tangible external constraints that prevent Sea Limited from achieving uninhibited economic rents. While advertising and logistics attach continue to lift the aggregate Shopee take rate, market aggression from low-cost Chinese cross-border entrants, notably Temu and TikTok Shop, imposes a practical ceiling on merchant commission increases. To preserve market share across core Southeast Asian markets, Sea Limited has been forced to maintain elevated sales and marketing budgets. This dynamic was visibly demonstrated in Q2 2026, when adjusted EBITDA margin retreated to 11.8% from 15.8% twelve months prior. Consequently, while the ecosystem moat is structural, its monetization velocity is continuously moderated by competitive dynamics.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework for Sea Limited is grounded in a multi-tier discounted cash flow model spanning a five-year explicit forecast horizon from FY2026 through FY2030, anchored to the group's reported FY2025 baseline revenue of $22.9B and free cash flow of $4.50B. The model applies an explicit weighted average cost of capital of 10.25%, an equity beta of 1.55 reflecting emerging market consumer internet volatility, and a base-case terminal growth rate of 3.0%. Diluted share count is held constant at the verified model input of 638.2 million shares. We isolate three fundamental scenarios that reflect varying degrees of e-commerce monetization, credit loss cyclicality, and competitive marketing intensity.

In our base-case scenario, Sea Limited compounds revenue at a 16.0% compound annual growth rate through FY2030, achieving a normalized final forecast year free cash flow margin of 7.2%. This path acknowledges the natural moderation of top-line growth from the 36.4% pace delivered in FY2025 and the 48.1% mark achieved in Q2 2026, while reflecting steady take-rate expansion and stabilized marketing expenditures. In the bull-case scenario, top-line revenue compounds at a 22.0% CAGR through FY2030 with final forecast year free cash flow margins expanding to 8.8%, driven by structural logistics efficiencies in Brazil, sustained high-margin Garena bookings, and credit loss provisions remaining subdued as Monee scales.

Conversely, our bear-case scenario models a 10.0% revenue CAGR and a compressed final forecast year free cash flow margin of 5.3%, capturing persistent price competition against TikTok Shop, fulfillment margin drag, and an escalation in credit provisioning across the $11.1B lending book.

Weighting these scenarios at 25% for the bear case, 50% for the base case, and 25% for the bull case produces a blended intrinsic equity value of $84.40 per share. Against the reference spot price of $76.79, this blended target provides an expected return of +9.9%. Given that this modest upside falls well within the margin of error dictated by Sea Limited's equity beta of 1.55 and the macro uncertainties surrounding emerging market consumer credit, we maintain a Hold rating on the shares.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	10.0%	5.3%	$48.19	-37.2%
Base	50%	16.0%	7.2%	$79.79	+3.9%
Bull	25%	22.0%	8.8%	$129.81	+69.0%

Bear $48.19

Intensifying competitive pressure from TikTok Shop and Temu forces Sea Limited to permanently elevate sales and marketing expenditure, while a macroeconomic downturn causes provisions to spike across the $11.1B Monee loan portfolio. Top-line expansion slows to a 10.0% CAGR through FY2030 and terminal cash conversion degrades to a 5.3% free cash flow margin, driving a 37.2% decline from the reference spot price.

Base $79.79

Shopee maintains market leadership across Southeast Asia and Taiwan with GMV compounding near the guided 25% rate, while advertising monetization offsets fulfillment costs in Brazil. Revenue compounds at a 16.0% CAGR with free cash flow margin settling at 7.2% by FY2030, yielding a fair value of $79.79, representing a 3.9% premium over spot.

Bull $129.81

Core marketplace take rates expand rapidly as merchant advertising adoption compounds, Monee loan growth scales efficiently with 90+ day NPLs anchored near 1.0%, and Garena sustains bookings momentum across Free Fire and Arena of Valor. Group revenue achieves a 22.0% CAGR with target FCF margins reaching 8.8%, delivering an equity valuation of $129.81 and upside of 69.0%.

Valuation framework

A live discount rate, not a static hurdle

Our valuation framework utilizes a dynamically constructed 10.25% weighted average cost of capital, designed to capture the structural risk characteristics of Sea Limited's operating footprint. The discount rate incorporates an equity beta input of 1.55, reflecting the group's heightened sensitivity to emerging market consumer sentiment, regulatory shifts in digital financial services across Southeast Asia, and currency fluctuations in Brazil. The capital structure in the model is anchored by the group's reported balance sheet position, comprising $3.38B in total debt and an equity market capitalization of $49.0B at the reference price of $76.79 across 638.2 million diluted shares.

The 10.25% discount hurdle also encapsulates the duration profile of Sea Limited's future cash flows. Although the group achieved $4.50B in free cash flow during FY2025, supported by working capital dynamics and an FCF margin of 19.6%, long-term cash flow realization depends heavily on the monetization of Shopee marketplace services and the loss trajectory of the $11.1B Monee credit book. Consequently, our framework demands an adequate risk premium above sovereign benchmarks to account for cross-border e-commerce capital requirements and the cyclicality inherent in emerging market digital lending.

FCF margin normalization is the engine

A critical divergence in our valuation methodology lies in the normalization of free cash flow margins across the FY2026 to FY2030 projection window. In FY2025, Sea Limited reported an exceptional FCF margin of 19.6%, generating $4.50B in free cash flow on $22.9B of revenue, while operating margin sat at 8.7% and net income reached $1.58B. This divergence was driven by non-cash working capital benefits, payment timing differentials, and delayed capital expenditures. We do not extrapolate this elevated 19.6% FCF conversion rate into our terminal calculations, as it reflects transitional operational cash flow dynamics rather than steady-state distributable cash.

Instead, our model applies realistic target free cash flow margins in the final forecast year that bridge operating profitability directly to steady-state capital requirements. In our base case, the final forecast year FCF margin normalizes to 7.2%, reflecting ongoing capital reinvestment in Brazilian fulfillment networks, software infrastructure, and the credit provisioning demands of an expanding loan book. In our bull case, where scale economics in core marketplace advertising fully materialize, the final FCF margin expands to 8.8%. In our bear case, relentless competitive outlays and credit impairment costs restrict the final FCF margin to 5.3%. These normalized margins form the basis for our terminal Gordon growth calculations, which assume a 3.0% perpetual growth rate in the base case.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	FY2026 to FY2030
Live WACC	10.25% (2026-10-29)
Terminal growth	3.0%
Equity beta	1.55
Diluted shares	638.2 million

HOLD

over $84.40 blended target

Sum of the parts

Restated cross-check as of October 24, 2026, on second quarter 2026 filings and October 23 peer closes

Our sum of the parts values each Sea Limited segment on its own market multiple and adds net cash, as a cross-check against the discounted cash flow framework above rather than a replacement for it. Shopee and Garena are valued on enterprise value to adjusted EBITDA, SeaMoney on its on-book loan book, and the corporate drag is capitalized at the Garena median multiple. The build uses 638.2 million diluted shares and net cash of $6.88B throughout, against the reference spot price of $74.63.

SEGMENT	BASIS	BEAR	BASE	BULL
Shopee (E-Commerce)	Adj. EBITDA, TTM $0.87B	$10.31B	$16.61B	$21.88B
SeaMoney / Monee (Digital Financial Services)	On-book loans $10.0B	$2.70B	$3.20B	$3.80B
Garena (Digital Entertainment)	Adj. EBITDA, TTM $1.83B	$14.96B	$17.84B	$31.25B
Corporate and Other	Drag, TTM negative $0.17B	-$1.67B	-$1.67B	-$1.67B
Enterprise value		**$26.30B**	**$35.97B**	**$55.26B**
Plus net cash		**$6.88B**	**$6.88B**	**$6.88B**
Total equity		**$33.17B**	**$42.85B**	**$62.14B**
Per share		**$51.98**	**$67.14**	**$97.36**

The restated parts value tempers the discounted cash flow case rather than supporting it. Base of $67.14 sits 10.0% below spot and $12.11, or 15.3%, below the DCF Base of $79.25. Bear of $51.98 sits 30.3% below spot and $27.27 below the DCF Base, while Bull of $97.36 sits 30.5% above spot and $18.11 above the DCF Base. The range of $51.98 to $97.36 brackets spot and brackets the DCF Base, with Bull above the DCF Blended target of $83.79. This cross-check does not change our Hold rating, which rests on the discounted cash flow framework and the balance of operating momentum against reinvestment pressure set out above.

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as SEA e-commerce oligopoly trending to duopoly. We assign a premium of +15% to sector median multiples on moat strength alone.

- integrated infrastructure, Shopee logistics (SPX Express), ShopeePay at checkout, and Monee credit (loan book $11.1bn, +62.5% YoY at Q2 2026; UOB Kay Hian, 12 Aug 2026), plus Garena's high-margin engine (Q1 2026 adjusted EBITDA $573.6m, ~61.6% margin on bookings).
- Take-rate expansion is the pricing fact, Shopee's take rate rose to ~14.6% in Q2 2026 (UOB Kay Hian, Aug 2026) from ~13.7% in Q1 2026 (earnings coverage), while Q1 2026 core marketplace revenue grew 61% YoY, monetisation rising faster than volume. Garena is the profit anchor: 666.5m quarterly active users and bookings $931.4m in Q1 2026, its strongest quarter since 2021.

- The weakest element is contested leadership and thin marketplace margin, TikTok Shop is closing the gap (Vietnam: Shopee ~64% in 2024 to ~52% in early 2026, TikTok Shop 28% to 41%, per Q1 2026 earnings coverage) and Shopee's EBITDA/GMV is razor-thin (~0.6% per Sleepwell analysis of Q2 2026), with take rate ~14.6% (Q2 2026) doing the monetisation work.

On a multiple cross-check, the justified range is EV/EBITDA 9.7×; P/E 19.8×. The cross-check value is P/E-implied $100.80; EV-implied $54.48 (see divergence note) vs Base $79.49, spot $74.96, on a base of Framework base from the October 27 moat report. The gap verdict is Not at all, no gap to close, DCF Base already exceeds spot.

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	4 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 25 percent. Shown side by side with the moat premium or discount, the net stance is -5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic overshoot only; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Core Marketplace Monetization and Credit Book Scale HOLD

Shopee remains the primary engine of Sea Limited's top-line trajectory, generating $5.6B in GAAP revenue in Q2 2026, an advance of 48.2% year on year. This performance was underpinned by gross merchandise volume expanding 28.4% to $38.3B across 4.2B gross orders. The critical driver of Shopee economics is the accelerating monetization of its core marketplace services, which surged 48.9% to $4.9B in Q2 2026. The outperformance of core marketplace revenue relative to gross merchandise volume growth confirms that advertising adoption among third-party sellers and the monetization of value-added logistics services continue to expand the platform's effective take rate. Management guidance provided in Q1 2026 targeted full-year 2026 Shopee GMV growth of around 25%, establishing an operational foundation that reinforces market dominance across Southeast Asia and Taiwan while absorbing expansion costs in Brazil.

Monee has emerged as the second structural growth pillar, generating $1.4B in revenue during Q2 2026, reflecting a 58.9% year-on-year increase, and contributing $288.0M in segment adjusted EBITDA. The growth of Monee is directly tied to the expansion of its consumer and SME lending activities, with loans principal outstanding scaling by 62.5% year on year to reach $11.1B in Q2 2026, following prior prints of $9.9B in Q1 2026, $9.2B in Q4 2025, and $7.9B in Q3 2025. Credit quality metrics have demonstrated short-term discipline, with the 90+ day non-performing loan ratio holding at 1.0% through Q2 2026. However, because credit loss provisions scale automatically alongside loan originations, the rapid expansion of this balance sheet introduces ongoing operating margin friction and elevates the group's vulnerability to macro shocks.

Garena provides essential cash generation that buffers the reinvestment requirements of the commerce and digital finance divisions. The digital entertainment segment demonstrated strong performance in Q1 2026, generating record bookings of $931.4M, up 20.1% year on year, led by Free Fire and a record contribution from Arena of Valor. This built upon Q3 2025 bookings of $840.7M, which had surged 51.1% on the back of Free Fire Squid Game and Naruto Shippuden campaigns, before moderating to $672.4M in Q4 2025 and $763.5M in Q2 2026. While Garena bookings exhibit cyclicality tied to promotional campaign cadences, the franchise continues to generate high-margin liquidity that supports corporate capital allocation, including the $1.0B share repurchase program authorized in Q1 2026.

Despite these robust operational drivers, consolidated profit conversion remains constrained. Total adjusted EBITDA rose only 10.6% year on year in Q2 2026 to $917.2M, trailing the 48.1% top-line growth rate and compressing group adjusted EBITDA margin to 11.8% from 15.8% in Q2 2025. Similarly, in Q1 2026, group net income rose 6.7% to $438.2M against top-line growth of 46.6%. The necessity to reinvest in sales and marketing to defend market share

against TikTok Shop and Temu, coupled with rising credit loss provisions and fulfillment outlays in Brazil, prevents top-line gains from dropping cleanly to the bottom line.

What to monitor

- **Shopee Take-Rate Trajectory** The degree to which core marketplace revenue continues to outpace GMV growth through advertising attach rates and logistics fees without causing merchant attrition to rival platforms.
- **Monee Credit Provisioning and NPL Stability** The resilience of the 90+ day non-performing loan ratio around the verified 1.0% level as loans principal outstanding expands beyond $11.1B.
- **Adjusted EBITDA Margin Stabilization** Progression toward management guidance flooring full-year 2026 adjusted EBITDA no lower than 2025 in absolute dollars, tracking whether the Q2 2026 margin compression to 11.8% reverses.
- **Garena Bookings Cadence** The sustainability of quarterly bookings following the $931.4M peak in Q1 2026 and $763.5M in Q2 2026 as content updates cycle through Free Fire and Arena of Valor.

+36.4%	44.7%	8.7%	19.6%	$783.1M	12.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$22.9B
Gross Profit	$10.2B
EBIT	$1.99B
Net Income	$1.58B
EBITDA	$2.69B
Free Cash Flow	$4.50B
Diluted EPS	$2.52
ROE	12.5%

Risk & moat matrix

The bear case

SHARE EROSION

TikTok Shop and Temu continue to aggressively deploy subsidies across Southeast Asia, threatening Shopee marketplace volume and forcing higher promotional spending. This competitive intensity directly threatens Shopee core marketplace take rates and risks eroding transactional gross margins.

M&A DIGESTION

While Sea Limited has prioritized organic scaling across Shopee and Monee, cross-segment execution risks remain substantial as internal resources are split between logistics operations and banking services. Inefficient capital deployment across regional operating subsidiaries could dilute consolidated returns on invested capital.

REGULATORY AND PRICING SCRUTINY

Monee operates under evolving regulatory regimes across Southeast Asia that govern consumer lending rates, digital payments, and capital reserve requirements. Any regulatory intervention capping interest margins or tightening micro-lending licensing would immediately depress segment profitability.

TECHNOLOGY DISRUPTION

Livestream commerce and algorithm-driven discovery platforms have altered consumer purchase journeys across core Asian territories. Failure by Shopee to continuously match competitor features could degrade user engagement and lower gross order velocity.

REINVESTMENT TREADMILL

Group adjusted EBITDA margin compressed to 11.8% in Q2 2026 as sales and marketing outlays expanded alongside ongoing Brazilian logistics investments. If regional market defense requires sustained expenditure, free cash flow conversion will remain depressed below historical peaks.

WACC AND DURATION SENSITIVITY

With an equity beta of 1.55 and a discount rate of 10.25%, Sea Limited equity value is sensitive to shifts in global interest rates and emerging market risk premiums. A higher cost of capital disproportionately penalizes long-term terminal value realization in our DCF architecture.

The strengths

OLIGOPOLY POSITION

Shopee retains the leading marketplace

FCF COMPOUNDING

The group proved its cash-generation

GEOGRAPHIC DURABILITY

Expansion beyond Southeast Asia into

PIPELINE OPTIONALITY

Garena established evergreen status for

footprint across Southeast Asia and Taiwan, generating $38.3B in GMV across 4.2B gross orders in Q2 2026. This extensive seller and consumer network forms a self-reinforcing flywheel that new entrants cannot easily dismantle.

capability by delivering $4.50B in free cash flow during FY2025, supported by an operating profit of $1.99B. This cash flow generation provides substantial liquidity to self-fund fulfillment infrastructure and internal credit expansion.

Brazil provides geographic diversification and opens a large consumer market to Shopee ecosystem services. As local logistics reach critical density, international operations offer an incremental runway for multi-year GMV compounding.

Free Fire while proving its portfolio breadth via record Arena of Valor contributions in Q1 2026. Sustained bookings momentum provides high-margin cash flow to subsidize long-term digital financial initiatives across Monee.

The bottom line on risk and reward

Sea Limited presents a complex fundamental profile where exceptional top-line execution is tempered by margin compression and latent credit risk. In Q2 2026, revenue expanded by 48.1% to $7.79B, driven by core marketplace revenue climbing 48.9% to $4.9B and Monee revenue scaling 58.9% to $1.4B. The operational engine is undeniably functioning at high capacity, supported by management guidance projecting full-year 2026 Shopee GMV growth of around 25% and adjusted EBITDA no lower than 2025 in absolute dollars. Furthermore, the $1.0B share repurchase program authorized in Q1 2026 provides downside support to equity holders.

However, the quality of bottom-line conversion has degraded. Group adjusted EBITDA margin contracted to 11.8% in Q2 2026 from 15.8% in Q2 2025, as sales and marketing spend expanded to defend the platform against TikTok Shop and Temu. In parallel, Monee loans principal outstanding has expanded rapidly to $11.1B, up 62.5% year on year. While the 90+ day non-performing loan ratio remains stable at 1.0%, this credit book has not yet navigated an extended macroeconomic downturn, and credit provisioning requirements will continue to absorb incremental operating leverage.

Our valuation framework synthesizes these conflicting forces into a balanced risk-reward assessment. Against the reference spot price of $76.79, our DCF model computes a bear-case target of $48.19 (-37.2%), a base-case target of $79.79 (+3.9%), and a bull-case target of $129.81 (+69.0%). Applying a 25/50/25 probability weighting generates a blended intrinsic equity target of $84.40, offering an expected upside of +9.9%. Because this modest prospective return is insufficient to compensate for the elevated beta of 1.55 and underlying competitive risks, we reiterate our Hold rating.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Shopee: Market Leadership and the Take-Rate Expansion Dynamic

Shopee constitutes the centerpiece of Sea Limited's corporate valuation, operating as the leading e-commerce marketplace across Southeast Asia and Taiwan with expanding scale in Brazil. The franchise model centers on driving transaction volume through high-density consumer traffic, which is subsequently monetized via advertising toolsets, value-added logistics services, and merchant commissions. In Q2 2026, Shopee demonstrated the robustness of this strategy by generating $5.6B in GAAP revenue, up 48.2% year on year, on gross merchandise volume of $38.3B. The marketplace processed 4.2B gross orders during the quarter, reflecting an ecosystem that commands deep consumer engagement across its core regional territories.

The primary driver of Shopee's operational progress is the decoupling of core marketplace revenue from underlying GMV growth. During Q2 2026, core marketplace revenue rose 48.9% to $4.9B, significantly exceeding the 28.4% GMV expansion rate. This structural divergence illustrates that advertising attach rates and proprietary logistics integration are driving platform monetization. Rather than relying solely on base commission fees, Shopee has successfully integrated paid search, display banners, and fulfillment services into merchant operating costs, thereby capturing an expanding share of each transaction dollar.

Nevertheless, the cost of defending Shopee's market leadership has escalated. The rapid expansion of TikTok Shop and Temu across Southeast Asia has triggered an aggressive competitive response, requiring Sea Limited to elevate sales and marketing investments. Furthermore, while the platform continues to expand in Brazil, cross-border and local logistics infrastructure investments remain cash consumptive. This reinvestment burden was the primary catalyst behind the contraction in group adjusted EBITDA margin to 11.8% in Q2 2026, down from 15.8% a year prior. Shopee must continuously balance take-rate increases against the risk of merchant and consumer migration to subsidized rival platforms.

What the recent record shows

- Shopee GAAP revenue grew 48.2% year on year to $5.6B in Q2 2026, supported by GMV of $38.3B, up 28.4%, and gross orders reaching 4.2B.
- Core marketplace revenue rose 48.9% to $4.9B in Q2 2026, outpacing GMV growth and confirming that advertising and logistics attach continue to expand the effective take rate.
- In Q1 2026, Shopee GMV advanced 30.2% year on year to $37.3B, with management providing formal guidance targeting full-year 2026 GMV growth of around 25%.
- E-commerce expansion in Brazil continues to require logistics capital and fulfillment investments, maintaining pressure on overall segment margin progression.

Our read: Shopee retains an unassailable scale advantage across Southeast Asia and Taiwan, and its take-rate monetization demonstrates real pricing power. However, elevated marketing requirements to counter TikTok Shop and Temu will keep adjusted EBITDA margins constrained, making top-line execution essential to justify current equity valuation.